

Acme Corporation

Human Resources Policy Handbook

Version 4.2 · Effective 01 January 2026 · Supersedes Version 4.1 (July 2025)

This handbook consolidates the employment policies of Acme Corporation (“the Company”) applicable to all employees in India. It covers leave entitlements, working hours, remote work, expense reimbursement, code of conduct, separation, and employee benefits. Where local law provides a more favorable entitlement than this handbook, local law prevails. The Human Resources department is the final authority on the interpretation of every policy in this document.

Unless a section states otherwise, “employee” means a regular full-time employee who has completed onboarding. Provisions for employees on probation, interns, and fixed-term contractors are called out explicitly within each section where they differ.

1. Employment Classifications

Acme Corporation recognises four classifications of working personnel. **Regular full-time employees** work a standard schedule of 40 hours per week and are eligible for the complete benefits and leave program described in this handbook. **Probationary employees** are regular hires within their first 90 days of employment; their leave accrual begins on day one, but leave may not be availed until probation is confirmed, except sick leave and statutory entitlements. **Interns** are engaged for a fixed term of up to 6 months under a separate internship agreement. **Fixed-term contractors** are engaged through a services agreement and are not covered by this handbook except where a section expressly includes them.

2. Working Hours and Attendance

The standard work week runs Monday through Friday, 9:30 AM to 6:30 PM IST, including a 60-minute unpaid lunch break. Core collaboration hours are 11:00 AM to 4:00 PM, during which all employees are expected to be reachable. Teams may adopt flexible start times between 8:00 AM and 10:30 AM with manager approval, provided core hours are respected.

Employees must record attendance in the HRIS portal. Three or more unrecorded days in a calendar month trigger an attendance review with the reporting manager. Habitual late arrival, defined as arriving after core hours begin on more than four occasions in a month without prior intimation, may be treated as a conduct matter under Section 8.

3. Leave Policy

3.1 Casual Leave

Every regular full-time employee is entitled to **12 days of casual leave per calendar year**, credited at the rate of 1 day per month. Casual leave is intended for short-notice personal needs and may be

taken in half-day units. A maximum of 3 consecutive casual leave days may be taken at a time; longer planned absences must use earned leave. Unused casual leave **lapses on 31 December** and cannot be carried forward or encashed.

3.2 Sick Leave

Employees receive **10 days of paid sick leave per calendar year**, available from the date of joining, including during probation. A medical certificate from a registered practitioner is required for sick leave of **3 or more consecutive days**. Up to 5 unused sick leave days may be carried forward to the next year, subject to a maximum accumulated balance of 15 days. Sick leave is not encashable at any time, including at separation.

3.3 Earned (Privilege) Leave

Regular employees accrue **18 days of earned leave per year**, at 1.5 days per completed month of service. Earned leave may be carried forward up to a maximum accumulated balance of **45 days**; accruals beyond this cap lapse. Earned leave applications for more than 3 consecutive days must be submitted at least 2 weeks in advance. On separation, the unused earned leave balance is encashed at the employee's last drawn basic salary.

3.4 Maternity Leave

Eligible women employees are entitled to **26 weeks of paid maternity leave** for the first two children, in accordance with the Maternity Benefit (Amendment) Act, 2017, and 12 weeks for a third or subsequent child. Up to 8 weeks may be taken before the expected delivery date. Employees adopting a child below the age of 3 months are entitled to 12 weeks of adoption leave from the date the child is handed over. During maternity leave, all benefits continue and the role is protected.

3.5 Paternity Leave

Male employees are entitled to **2 weeks (10 working days) of paid paternity leave**, to be availed within 6 months of the child's birth or adoption. Paternity leave may be split into a maximum of two spells.

3.6 Bereavement and Marriage Leave

Employees may avail up to **5 days of paid bereavement leave** on the death of an immediate family member (spouse, child, parent, sibling, or parent-in-law), and up to **3 days of paid marriage leave** for their own wedding, once during employment with the Company.

3.7 Leave Provisions for Interns

Interns are entitled to **1 day of paid casual leave per completed month** of the internship and paid sick leave on production of a medical certificate, up to 3 days per internship term. Interns are not eligible for earned leave, bereavement leave, marriage leave, or leave encashment. Any additional absence is treated as unpaid, subject to the internship agreement.

3.8 Public Holidays

The Company observes **10 fixed public holidays** and **2 floating (optional) holidays** per calendar year. The fixed holiday calendar is published by HR each December for the following year and may vary by office location. Floating holidays must be applied for in the HRIS portal at least 3 working days in advance and lapse if unused.

4. Remote and Hybrid Work

Acme Corporation operates a hybrid model. Employees are expected in their assigned office a minimum of **3 days per week**; the anchor days are Tuesday, Wednesday, and Thursday unless the department head publishes a different schedule. Employees may work fully remotely for up to **4 weeks per calendar year** from anywhere within India with manager approval submitted at least 1 week in advance. Working remotely from outside India requires prior written approval from both HR and the Legal department, and is limited to 2 weeks per year for tax and compliance reasons.

Remote employees must be available during core hours, use the Company VPN for all work, and take video calls from an environment where confidential information cannot be overheard. Interns are expected to work from the office for the full duration of the internship unless their internship agreement states otherwise.

5. Expense Reimbursement

5.1 General Rules

All reimbursement claims must be submitted through the expense portal within **30 days of the expense date**, supported by original invoices or receipts. Claims submitted after 30 days require Finance Head approval and may be rejected. Reimbursements are processed with the next payroll cycle after approval.

5.2 Home Internet and Communication

Employees enrolled in the hybrid program may claim home internet expenses up to **Rs. 1,500 per month** against a bill in the employee's name. Mobile expenses are reimbursable up to Rs. 800 per month for employees whose role requires client calling, as certified by their manager.

5.3 Business Travel

Domestic travel must be booked through the Company travel desk at least 7 days in advance where practicable. Per-diem allowances for domestic travel are **Rs. 2,500 per day for metro cities** and Rs. 1,800 per day for other locations, covering meals and incidentals. Hotel bookings must not exceed Rs. 7,000 per night in metro cities and Rs. 5,000 elsewhere without VP approval. Economy class airfare applies to all flights under 6 hours.

6. Notice Periods and Separation

Either party may end employment by giving written notice. Notice periods vary by grade, as follows:

Grade	Role band	Notice period (either side)
L1–L2	Associate / Analyst	30 days
L3–L4	Senior / Lead	60 days
L5 and above	Manager / Director and above	90 days
—	Probationary employees (all grades)	15 days
—	Interns	7 days

The Company may, at its discretion, accept payment of basic salary in lieu of the unserved notice period, or waive notice entirely. Garden leave may be directed for employees in sensitive roles. On the last working day, employees must return all Company property; the full and final settlement, including earned leave encashment under Section 3.3, is processed within **45 days** of the last working day.

7. Performance Reviews

Performance is reviewed twice a year: a mid-year check-in in July and an annual appraisal in January, covering the prior calendar year. Ratings follow a 5-point scale, and compensation revisions arising from the annual cycle take effect from 1 April. An employee rated at the lowest level in two consecutive cycles is placed on a Performance Improvement Plan (PIP) of 60 days, with clearly documented goals and fortnightly manager reviews. Interns receive a single evaluation at the end of the internship, which determines eligibility for a full-time offer.

8. Code of Conduct

All personnel, including interns and contractors, must act with integrity, treat colleagues with respect, and protect Company and customer information. The following are strictly prohibited: harassment or discrimination of any kind; working under the influence of alcohol or drugs; unauthorised disclosure of confidential information; accepting gifts from vendors or clients exceeding Rs. 2,000 in value without declaring them to HR; and moonlighting, meaning any secondary employment or paid engagement undertaken without prior written approval from HR.

Suspected violations should be reported to the employee's manager, to HR, or anonymously through the ethics hotline. Retaliation against anyone who raises a concern in good faith is itself a violation of this Code. Substantiated violations may result in disciplinary action up to and including termination of employment.

8.1 Prevention of Sexual Harassment (POSH)

The Company maintains an Internal Committee (IC) as required by the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. Complaints may be made in writing to the IC within 3 months of the incident (extendable by the IC for recorded reasons). The IC completes its inquiry within 90 days and its recommendations are implemented within 60 days. All employees must complete POSH awareness training within 30 days of joining and annually thereafter.

9. Employee Benefits

Regular full-time employees are covered by a group medical insurance policy with a base sum insured of **Rs. 5,00,000 per family per year**, covering the employee, spouse, and up to two children. Parents may be added under a voluntary top-up at the employee's cost during the annual enrolment window in April. The policy includes cashless hospitalisation at network hospitals and maternity coverage of Rs. 75,000 per event. Group term life insurance equal to 3 times annual fixed salary and group personal accident cover are provided at no cost to the employee. Interns and contractors are covered by personal accident insurance only.

The Company matches statutory Provident Fund contributions at 12% of basic salary and offers a National Pension System (NPS) corporate contribution of up to 5% of basic for employees who opt in. A learning allowance of Rs. 20,000 per year is available for role-relevant courses and certifications, claimable against completion certificates.

10. Information Technology and Security

Company-issued laptops remain Company property and must be secured with full-disk encryption and a screen lock of 5 minutes or less. Multi-factor authentication is mandatory on all Company systems. Employees must not install unlicensed software, forward Company data to personal accounts, or use unapproved AI tools to process confidential or personal data. Lost or stolen devices must be reported to IT Security within **4 hours** of discovery. Phishing simulations are run quarterly; employees who fail two consecutive simulations must complete refresher training within 2 weeks.

11. Grievance Redressal

An employee with a workplace grievance should first raise it with their reporting manager, who must respond within 5 working days. If unresolved, the employee may escalate in writing to the HR Business Partner, who will acknowledge within 2 working days and aim to resolve the matter within 15 working days. Grievances concerning the reporting manager may be taken directly to HR. The formal outcome, with reasons, is communicated in writing, and an appeal may be made to the HR Head within 10 days of the outcome.

12. Policy Administration and Amendments

This handbook is reviewed annually and may be amended by the Company at any time. Material changes are announced by email and take effect on the date stated in the announcement. The controlled copy of this handbook lives on the HR intranet; printed or downloaded copies are uncontrolled. Questions about any policy should be directed to hr@acmecorp.example. Nothing in this handbook creates a contract of employment or alters the at-will or contractual terms set out in an individual's offer letter.